UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate Transmission System	)))	Docket No. RM26-4-000

COMMENTS OF THE PSEG COMPANIES

Data centers are vitally important to the country's national security and economic development. As the Secretary of Energy observes, the country is experiencing unprecedented load growth, largely fueled by artificial intelligence ("AI") data centers.[1] This large load growth presents a tremendous opportunity for the country but also poses major challenges, including the need for "unprecedented and extraordinary quantities of electricity and substantial investment in the Nation's interstate transmission systems."[2] In short, the country's electric power system is undergoing profound, generational changes, and data centers, along with other large load customers, have strained the country's electric power system in a way that requires significant new infrastructure investment to meet electric demand and to maintain system reliability.

The current regulatory framework has not kept up with the rapid changes that are occurring on the power grid. Over the past two years, while there have been a number of proceedings and technical conferences before the Commission regarding the

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[1] *See* Secretary of Energy's October 23, 2025 Letter proposing an advance notice of proposed rulemaking regarding "Ensuring the Timely and Order Interconnection of Large Loads") (the "ANOPR").

[2] *Id.* at 2.

interconnection of large loads, to date, the Commission has not provided the necessary clarity of rules.

With this backdrop, the PSEG Companies[3] appreciate the Secretary of Energy's decisive action in directing the Commission to initiate a rulemaking process to standardize procedures that would apply to all interconnection of large loads to the transmission system. Based on the urgency expressed by the Secretary and the guidance provided in the Advance Notice of Proposed Rulemaking ("ANOPR"),[4] the time has come for the Commission to act expeditiously by establishing rules that will provide clarity and finality.

PSEG's comments underscore three key points. First, customer reliability is always the paramount objective, and all large load connections to the transmission system must be effectuated in a way that ensures reliability. Second, large load connections should recognize and prioritize affordability for customers through efficient planning and use of the transmission system. Finally, while large load development is essential from both an economic and a national security perspective, large loads should not create or exacerbate the resource adequacy problem that exists in many parts of the country. This

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[3] The PSEG Companies are Public Service and Gas Company ("PSE&G"), PSEG Power LLC, and PSEG Energy Resources & Trade LLC, which are each wholly-owned, direct or indirect subsidiaries of Public Service Enterprise Group Incorporated ("PSEG") (collectively, "PSEG" or the "PSEG Companies"). PSEG is a diversified energy company based in Newark, New Jersey consisting primarily of a regulated electric and gas utility and a nuclear generation business. Through its wholly-owned subsidiary PSE&G, PSEG owns 1,600 circuit miles of electric transmission lines within the PJM region. PSE&G also has 2.4 million electric customers in its franchised service territory and an obligation to reliably serve those customers. For 24 consecutive years, PSE&G has won reliability awards in the Mid-Atlantic region and has a proven record of providing reliable and affordable service to customers. PSEG also has an ownership interest in approximately 3,800 MW of reliable, baseload carbon-free nuclear generation.

[4] ANOPR at P 17.

means that it is necessary to implement an "all-of-the-above" approach that includes bringing significant amounts of new generation supply on-line as soon as possible.[5]

I. EXECUTIVE SUMMARY

Our country is at a "historic crossroads."[6] For many years, the country's load growth was relatively flat; however, as the Secretary observes, load growth is expected to grow "at an extraordinary pace, due, in large part, to the rapid growth of large loads," and "most notably data centers."[7]

It is widely recognized that maintaining U.S. leadership in AI and our technological preeminence in this field is crucial to the country's economic development and national security. In her recent September 2025 testimony before the US Senate Energy and Natural Resources Committee, Chairman Laura Swett emphasized the importance of data centers to national and economic security and declared that she will do "***everything within FERC's powers to buttress the AI revolution and facilitate the connection of large load and data centers***, ***so that data centers are not forced to build in other countries, making every American vulnerable to foreign adversaries***."[8]
The U.S. Department of Energy has recognized the importance of providing data center flexibility through co-location load arrangements, stating co-location is vital to ensuring

[5] On September 18, 2025, the Department of Energy issued a request for information in connection with the proposal to accelerate large-scale generation and transmission projects to enable load growth. *See* Department of Energy, Grid Deployment Office, Request for Information, "Accelerating Speed to Power/Winning the Artificial Intelligence Race: Federal Action to Rapidly Expand Grid Capacity and Enable Electricity Demand Growth," 90 FR 45032 (Sept. 18, 2025) (the "DOE RFI").

[6] Written Testimony of Laura Swett, Energy and Natural Resources Committee, US Senate (September 4, 2025) (emphasis added) ("Chairman Swett's September 2025 Testimony").

[7] ANOPR at P 1.

[8] Chairman Swett's September 2025 Testimony at 2.

the country's leadership in AI by efficiently meeting the power demands of data centers.[9] In accordance with this goal, the ANOPR will allow for the development of reliable, timely, and cost-effective solutions to address the enormous challenges associated with the large load growth.

Our comments reflect the following:

- First, large load growth due to the AI data center revolution and the reshoring of advanced manufacturing presents both a unique opportunity and a serious resource adequacy problem. An "all of the above" solution is needed. This means that it is imperative to improve the accuracy of the regional load forecast on which capacity markets and transmission planning are based, to expedite the interconnection of generation resources, and to add significant quantities of new generation resources as quickly as possible through state-led processes.

- Second, the Commission should quickly adopt timely, orderly, and fair processes that would apply to the interconnections of new large loads, including data centers, to the transmission system. In recognition of the importance of data centers and domestic manufacturing to the country's national security and economic development, the Commission should eliminate barriers and provide regulatory flexibility for large customers to select the physical configuration that best suits their circumstances.

- Third, the Commission should adopt requirements to ensure that large loads are connected to the transmission system in a safe and reliable manner. Large loads seeking to interconnect to the transmission system raise a host of complex technical issues that must be evaluated to protect system reliability, and requirements should be put in place that will ensure future large load connections are effectuated safely and reliably.

- Fourth, all customers, including new large loads and data centers, should be treated in a fair and non-discriminatory manner with respect to access to the transmission system.

- Fifth, transmission charges should be based on actual usage of the transmission system, guided by well-established cost causation principles.

[9] *See, e.g.,* https://www.energy.gov/eere/ito/onsite-energy-program (discussing the benefits of co-location arrangements).

- Sixth, network upgrades to accommodate in front of the meter configurations should be rolled into transmission rates given that such network upgrades will benefit all transmission customers; network upgrades needed to accommodate hybrid/co-located load arrangements should be directly assigned to the hybrid/co-located load arrangements.

- Finally, the Commission should increase the 20 MW threshold to 30 MW or greater to avoid pulling in non-data center customers or other commercial customers who were not intended to be covered by the ANOPR.

II. BACKGROUND

A. Prior FERC Proceedings

Over the past few years, there have been a number of proceedings before the Commission focusing on many of the same issues raised in the ANOPR – *i.e.,* the rules and procedures that should apply to co-location load arrangements in PJM, including the applicable study process, and what transmission or ancillary charges, if any, should apply to co-located load arrangements. In November 2024, the Commission rejected one FPA Section 205 filing that set forth a proposal under which the fully isolated co-located load would have paid no transmission or ancillary charges.[10] In February 2025, the Commission rejected another FPA Section 205 filing proposing that all located load arrangements pay full network integration transmission service ("NITS") and ancillary service charges on a gross load basis.[11] On February 20, 2024, the Commission issued a Show Cause Order directing PJM and the PJM transmission owners to respond to a series of questions related to co-located load arrangements.[12] PJM, the PJM transmission

[10] *PJM Interconnection, L.L.C.*, 189 FERC ¶ 61,078 (2024) (rejecting the amended ISA for failing to meet the requisite burden of proof).

[11] *Atlantic City Electric Co., et al.*, 190 FERC ¶ 61,109 (2025) (rejecting the Section 205 filings for exceeding the filing entities' filing rights under the CTOA).

[12] *PJM Interconnection, L.L.C., et al.*, 190 FERC ¶ 61,115 (2025) ("Show Cause Order").

owners, including PSE&G, as well as other industry participants filed initial and reply comments in the docket.[13] To date, the Commission has not acted in the docket.

B. The ANOPR

Pursuant to his authority under section 403 of the Department of Energy Reorganization Act, on October 23, 2005, the Secretary of Energy directed the Commission to initiate rulemaking procedures considering potential reforms relating to the interconnection of large loads to the transmission system. The Secretary explained that the overarching goal of the ANOPR is to implement the Administration's commitment to "revitalizing domestic manufacturing and driving American AI innovation, both of which will "require unprecedented and extraordinary quantities of electricity and substantial investment in the Nation's interstate transmission system."[14] The Secretary emphasized "We must do so efficiently, fairly, and expeditiously."

Recognizing the "unprecedented current and expected growth of large loads seeking to interconnect to the transmission system," the ANOPR states that it "has become necessary to standardize interconnection procedures and agreements for such loads, including those seeking to share a point of interconnection with new or existing generation facilities (hybrid facilities)."[15] In the ANOPR, the Secretary outlined 14 principles that

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[13] *See* Response of Public Service Electric and Gas Company to the Order to Show Cause, Docket Nos. EL25-49, AD24-11, and EL25-20 (March 24, 2025).

[14] Secretary of Energy's October 23, 2025 Letter at 2. In fact, US electric utilities are expected to spend $1.4 trillion during the period 2025 to 2030 (double the amount invested in the prior 10 years) to expand the transmission and generation systems to meet the high load growth from data centers. *See US Electric utilities entering investment "super-cycle*" (Oct. 27, 2025) (available at https://www.utilitydive.com/news/us-electric-utilities-investment-super-cycle-morningstar/803841).

[15] ANOPR P 13. The ANOPR's definition of "hybrid facilities" is similar to the Commission's definition of co-located load arrangements in the Show Cause Order, which provides "co-located

the Secretary believes "should inform the Commission's rulemaking procedures."[16] The Secretary directed the Commission to take "final action (no later than April 30, 2026.)."[17]

III. COMMENTS

A. New Generation Resources Are Urgently Needed to Meet Unprecedented Load Growth Driven in Large Part By New Large Load Connections

The ANOPR's goal is to streamline the load interconnection process to ensure that large loads are able to connect to the transmission system in a timely, orderly, and non-discriminatory manner. Yet, this increased demand places strain on the country's electric power system and generation supply is urgently needed to meet the unprecedented demand for power. According to the US Energy Information Administration, for nearly two decades, the electricity demand in the country was "relatively flat."[18] However, over the past several years, electricity demand in the country has been growing at "an extraordinary pace." This is in large part due to the rapid growth of large loads, most notably data centers.[19] Data centers are forecasted to account for up to 12.0% of total U.S. electricity consumption by 2028.[20]

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load as a configuration through which end-use customer load is physically connected to the facilities of an existing or planned generation unit on the interconnection customer's side of the point of interconnection to the PJM transmission system." Show Cause Order at P 3.

[16] ANOPR at P 17.

[17] *See* Secretary of Energy's October 23, 2025 Letter at 1, 2.

[18] According to the U.S. Energy Information Administration, "between the mid-2000s and early 2020s, electricity demand was "relatively flat." *See* https://www.eia.gov/todayinenergy/detail.php?id=65264.

[19] ANOPR at P 1. The Secretary stated that [t]his Administration is committed to revitalizing domestic manufacturing and driving American AI innovation Secretary's October 23, 2025 Letter at 2.

[20] *See* Lawrence Berkeley National Laboratory, 2024 United States Data Century Energy Usage Report at 6 (Dec. 2024) (available at https://escholarship.org/uc/item/32d6m0d1).

Given the anticipated load growth, there are ever-growing resource adequacy concerns throughout the country, as well as how customer affordability would be affected. This is especially the case in the PJM region, which has the highest concentration of data center growth while simultaneously experiencing rapid retirement of aging thermal generation resources.[21] In other words, there is an urgent need to add new generation capacity in PJM even without taking into account the large load growth in the coming years. To underscore the resource adequacy problem in PJM, in 2025, on several occasions, the Secretary of Energy has invoked section 202(c) of the Federal Power Act and section 301(b) of the Department of Energy Organization Act to declare that an "emergency exists within the PJM Interconnection, L.L.C. (PJM) service territory due to a shortage of electric energy, a shortage of facilities for the generation of electric energy, and other causes." The Secretary held that to meet the emergency and resource adequacy concern, certain generation resources (such as Constellation's Eddystone Unit 3 and Unit 4) that were scheduled to be retired must remain operational and available to provide electric power.[22] In PJM as well as throughout the country, there is a looming crisis with respect to resource adequacy and whether generation capacity will be able to meet the projected load growth. New Jersey, for example, does not "have enough power generation

[21] https://insidelines.pjm.com/pjm-summer-outlook-2025-adequate-resources-available-for-summer-amid-growing-risk/. In fact, over fifty percent of the generation in PJM is greater than 30 years old, and nearly 40,000 MW of coal and gas generation resources are more than forty years old. *See, e.g.,* State of the Market Report for PJM by PJM Independent Market Monitor Report at 773 (Nov. 11, 2025).

[22] *See also* DOE Order No. 202-25-6 (July 28, 2025) (finding that the "additional dispatch of Wanger Unit 4 is necessary to meet the emergency" associated with the "expected electricity demand, the shortage of electric energy, the shortage of facilities for the generation of electric energy, and other causes.") (available at https://www.energy.gov/ceser/2025-doe-202c-orders).

to meet [the state's] growing demands" and imports "between 40-50% of its power, and that number is expected to grow" and the gap is "as much as 6,000 megawatts."[23]

To solve the resource adequacy problem that is urgently confronting PJM and other parts of the country, an "all of the above" strategy is needed. The ultimate solution is to add new generation resources as quickly as possible to address the significant and ever-increasing supply/demand imbalance while recognizing the importance of customer affordability. However, it will take years to bring sufficient amounts of new generation on-line and so interim steps are needed as soon as possible, as discussed below:

First, PJM does not have the ability to plan nor require generation resources to be built. In addition, the PJM capacity market construct has not been adequate to incent the amounts of generation resources needed in the region, especially in light of the magnitude of the resource adequacy problem and a lack of stakeholder consensus. Moreover, over the past several years, there has been a lack of market certainty, which is critical to attract the necessary financing to build the significant amounts of new generation capacity. The Commission should encourage PJM to engage in a holistic examination of its current capacity market construct in light of these issues.

Second, as part of the overall resource adequacy solution, reforms must be implemented to ensure the accuracy of the regional load forecast, which is a key input into both transmission planning and capacity market parameters. The rapid pace of large load additions makes it more challenging to develop accurate load forecasts. Industry participants and regulators universally agree that an accurate forecast is critical in

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[23] *See* Op Ed article by PSEG's CEO and Chairman, Ralph LaRossa (Nov. 7, 2025) (available at https://www.northjersey.com/story/opinion/2025/11/06/mikie-sherrill-nj-first-energy-policy-opinion/87107973007/).

providing a clearer understanding of the magnitude of the resource adequacy problem. In fact, then Chairman David Rosner recently called upon ISOs/RTOs to focus efforts on ensuring load forecasts are accurate. He emphasized: "Put simply, we cannot efficiently plan the electric generation and transmission needed to serve new customers if we don't forecast how much energy they will need as accurately as possible."[24] As part of the PJM stakeholder process concerning large load additions,[25] PSEG put forward a proposal that would provide greater confidence in the accuracy of the PJM large load forecast by addressing the potential double counting of data centers and enhancing transparency.[26] Having an accurate load forecast will equip PJM, the PJM Transmission Owners and other stakeholders to develop needed generation and transmission solutions to maintain reliable, affordable electric service for customers.

Third, to meet the challenge of adding an "unprecedented and extraordinary quantities of electricity" to the power grid,[27] there is an urgent need to create an expedited interconnection track to bring state-sponsored resources online faster. Addressing the resource adequacy problem in PJM will require significant additions of new generation supply on-line as soon as possible and will require working with the states – who have

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[24] *See, e.g.*, Letter by Office of Chairman David Rosner to PJM CEO Manu Asthana, Docket No. EL25-49 (September 18, 2025).

[25] https://www.pjm.com/-/media/DotCom/about-pjm/who-we-are/public-disclosures/2025/20250808-pjm-board-letter-re-implementation-of-critical-issue-fast-path-process-for-large-load-additions.pdf.

[26] PSEG's proposal included the following elements: (1) the use of bright-line criteria for inclusion of large loads in the forecast; (2) inclusion of a step for state commission review of large load data prior to incorporation into the forecast; and (3) third-party validation of the large load forecast, working in coordination with the EDCs.

[27] Secretary's October 23, 2025 Letter at 2.

ultimate responsibility to engage in resource planning-to get this done, as PSEG has proposed as part of the PJM stakeholder process concerning large load additions.

While the unprecedented load growth presents a unique opportunity for the country, it also presents an urgent resource adequacy problem. Addressing this challenge requires implementing an "all-of-the-above" strategy that recognizes the importance of keeping electric rates affordable for customers. This includes adding significant amounts of new state-sponsored generation as soon as possible as well as improving the accuracy of the regional load forecast, which serves as a critical first step to restore confidence in the market and help ensure that generation is built when and where it is needed. In short, it will require all industry participants, across sectors, to create a plan that tackles both reliability and affordability for the future.

B. The Commission Should Quickly Adopt Timely, Orderly, And Fair Processes To Interconnect New Large Loads To The Transmission System

In recognition of the unprecedented load growth, the ANOPR states that "it has become necessary to standardize interconnection procedures and agreements for such loads" so that they are able to connect to the transmission system in a timely, orderly, and non-discriminatory manner." PSEG supports the ANOPR's objectives.

There is broad recognition and acceptance of the importance of data centers to economic development and national security in the United States.[28]

[28] *See, e.g.,* "OpenAI tells White House that US needs 100 GW of new energy per year to support AI boom" (Oct. 28, 2025) (noting that in 2024, the US added 51 GW of new generation while China added 429 GW) (available at https://www.datacenterdynamics.com/en/news/openai-tells-white-house-that-us-needs-100gw-of-new-energy-per-year-to-support-ai-boom/).

In her September 4, 2025 testimony before the United States Senate Energy and Natural Resources Committee, Chairman Laura Swett emphasized that the country is at a "historic crossroads," and said that her core goals include:

- "keeping the lights on and the pipelines that are pillars of our economy flowing, at just and reasonable rates;"
- "preserving national and economic security by ***doing everything within FERC's power to buttress the AI revolution and facilitate the connection of large load and data centers, so that data centers are not forced to build in other countries, making every American vulnerable to foreign adversaries;*** " and
- "maximizing FERC's ability to encourage and facilitate infrastructure development, ***which has faced crippling regulatory uncertainty*** over the recent past, the well-functioning and increase of which is critical to reliability, safety, and our economy."[29]

Similarly, Commission Rosner recently observed that "America's energy landscape is experiencing a transformation as regions across the country see significant demand growth to power industries of the future – from the artificial intelligence revolution to the re-shoring of advanced manufacturing. He stressed that "[f]ostering these projects and the energy infrastructure needed to serve them represents an extraordinary economic opportunity for our country. I also acknowledge there are challenges too. We must work together to seize this unique moment in the nation's history."[30]

While there is an unprecedented level of large loads seeking to connect to the transmission system, the regulatory framework has not kept up with pace to reflect the major changes occurring on the on the power grid. At the state level, regulators and

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[29] Chairman Swett's September 2025 Testimony (emphasis added).

[30] Letter by Office of the Chairman David Rosner to Manu Asthana, Docket No. EL25-49 (Sept. 18, 2025).

stakeholders are in various stages of exploring and establishing the regulatory requirements applicable to the interconnection of large loads. PJM recently summarized the regulatory requirements that are being proposed or have been adopted in the 13 states in the PJM region.[31] A review of these requirements indicates that the PJM states are considering or have adopted different sets of requirements applicable to the interconnection of large loads (such as the threshold or definition of a large load, costs for preliminary engineering analysis, deposit requirements, minimum contract term, etc.). The net effect is that there is a patchwork of regulatory requirements at the state level.

At the federal level, there have been a number of large load proceedings before the Commission. In the Show Cause Order, the Commission found that the lack of provisions in the PJM Tariff addressing co-location raised the potential for undue discrimination.[32] Even though there is a robust record in the docket, to date, the Commission has yet to take action.

The lack of clarity has created significant uncertainty for customers and investors. Now is the time for the Commission to act and provide needed certainty to the industry – including data center developers, utilities, generation owners, existing customers and other relevant stakeholders. The Commission must act in a timely manner to establish standard procedures that would apply to the interconnection of large loads to the transmission system, including with respect to hybrid or co-located load arrangements.

To foster large loads, including data center development, it is paramount that the Commission take action to reduce any regulatory uncertainty or barriers or within its

[31] Reliability Technical Conference, Docket No. AD25-8, Pre-technical Conference Remarks of Jason Connell, Vice President, Planning, PJM Interconnection, L.L.C. (Oct. 20, 2025).

[32] Show Cause Order at P 78.

jurisdiction that may hinder their development. Consistent with the Administration's commitment to "driving American AI innovation," the Commission should provide data centers with the flexibility and optionality to select a configuration that best fits their particular circumstances and needs, including in front of the meter connections or co-location/behind the meter configurations. In particular, the Commission should keep in mind the benefits that co-location arrangements provide, which include speed to power, efficient utilization of the transmission system and a reduction in the need for costly network upgrades to be paid by the rest of a utility's customer base,[33] which in turn promotes affordability for customers.

C. The Commission Should Adopt Requirements or Standards to Ensure that Large Loads Are Connected to the Transmission System in a Safe and Reliable Manner.

The ANOPR proposes that an existing generating facility that seeks to serve a new load at the same location (*i.e.*, a hybrid or a co-location arrangement), must go through a system support resource (SSR)/reliability must run (RMR) type study.[34] The ANOPR proposes that the study "must consider system conditions, including forecasted load growth, at least three years after the proposed suspension date" and any "partial suspension" will commence only after "network upgrades needed to ensure reliability are placed into service." The ANOPR proposes that the generator will be responsible for these network upgrades. Finally, the ANOPR seeks comment on whether and how resource adequacy should be considered in the RMR study.

[33] *See* ANOPR at P 20 (stating that "siting a large load near or at the same point of interconnection as a new generating facility could reduce the network upgrades needed to interconnect only the load or only the generating facility.").

[34] ANOPR at P 27.

Large loads seeking to interconnect to the transmission system, including on a co-located basis, raise a host of complex technical, engineering issues that must be evaluated to protect system reliability. PSEG has a strong commitment to reliability, and reliable electric service for customers is our priority. Thus, we support putting requirements in place that will ensure future large load connections are effectuated safely and reliably. Currently in PJM, an existing generator seeking to co-locate with load on a behind the meter basis has to go through the "Necessary Study" process to determine whether the modifications to the generating facility will have a permanent material impact on the transmission system and whether there are necessary additions, modifications, or replacements to the transmission system. Under that process, PJM's studies consider "generation deliverability, N-1 and N-1-1 thermal and voltage studies, special protection systems review, baseline stability, and, if applicable, a nuclear plant interface requirements voltage analysis."[35] While the Commission has asked whether revisions to that process may be necessary in PJM,[36] we think that as a general matter, it is appropriate to study an existing generator's proposed configuration changes to assess whether there will be material impacts to the transmission system. In addition, any such identified material impacts should be addressed before the generator is allowed to serve co-located load.

By contrast, RMR studies (including in PJM) are typically performed by the transmission provider to evaluate whether the proposed retirement of a particular

[35] *PJM Interconnection L.L.C.*, Docket No. EL25-49, Answer of PJM Interconnection L.L.C. at 49 (Mar. 24, 2025).

[36] Show Cause Order at P 79.

generating resource triggers reliability violations on the transmission system.[37] If such violations are caused by the proposed retirement, the transmission provider will normally offer compensation to the resource for delaying its retirement until modifications to the transmission system can be constructed to address the reliability violations.[38] Importantly, the RMR study process is not used to assess any potential impact on resource adequacy, and there is nothing inherent in a co-location arrangement that triggers the need to change the purpose of RMR studies as they are performed today. Applying such a study to co-located load arrangement would be unduly discriminatory under the FPA because it would treat co-located load arrangements differently than loads seeking to interconnect on a front of the meter basis.

Finally, it would be inappropriate to consider resource adequacy issues in the study process for co-located load/hybrid arrangements. As the Commission itself has observed, resource adequacy concerns "are ***not*** necessarily unique to co-location arrangements and "significant load growth more generally may raise many of the same concerns," regardless of the location of the generator and the load it serves.[39] Such resource adequacy concerns can also be triggered by the retirement of a generating resource. Stated another way, resource adequacy, and the load forecast that helps determine the magnitude of the resource adequacy problem, are system-wide concepts that affect the RTO region as whole. As a result, these issues should be addressed at the RTO-level rather than through

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[37] *See, e.g., H.A. Wagner LLC, Brandon Shores LLC*, ER24-1787, 187 FERC ¶ 61,176 at PP5-6 (2024) ("Wagner-Brandon Shores RMR Order") (summarizing the deactivation process in PJM and PJM's study to determination whether the deactivation "could adversely affect system reliability," and the generation owner's right to deactivate the unit or to elect to continue to operate the unit subject to the cost-of-service recovery rate).

[38] *Id.*

[39] Show Cause Order at P 85 (emphasis added).

individual studies for co-location arrangements. Further, transmission providers generally do not have the authority to compel a retiring generating resource to remain operational given their lack of legal authority to plan generation. Therefore, while all co-location arrangements should be fully studied to ensure system reliability for customers, layering on an RMR study that examines resource adequacy issues is unnecessary, inefficient, unduly discriminatory, and not the correct legal or practical fit for these arrangements.

D. All Customers, Including New Large Loads, Should Be Treated in a Non-Discriminatory Manner

The ANOPR seeks to standardize the interconnection procedures for large loads to ensure open and non-discriminatory access so that they will be able to connect to the transmission system in a "***timely, orderly, and non-discriminatory manner***."[40] The ANOPR's objective to ensure open and non-discriminatory access is consistent with the Show Cause Order in which the Commission found that the PJM Tariff lacked provisions that apply to co-location arrangements "leav[ing] entities unable to determine what steps they can or must take to effectuate co-location arrangements."[41] The Commission noted that in the absence of provisions governing co-location arrangements, the transmission owners in the PJM region are taking disparate approaches to co-location arrangements, including the required transmission service, and thus raising the potential for undue discrimination.[42] We support the ANOPR's objective of ensuring large loads are connected to the transmission system in an open, non-discriminatory manner. This fully

[40] *See* Secretary's October 23, 2025 Letter at 1; *see also* ANOPR at P 1.

[41] Show Cause Order at P 74.

[42] *Id.* at P 75.

aligns with the prohibition against undue discrimination or preferential treatment under the Federal Power Act.[43]

There have been many cases in which courts and the Commission held that it is unduly discriminatory and unlawful to treat similarly-situated parties differently.[44] To comport with this requirement, any rules that the Commission adopts in this rulemaking process must treat similarly-situated parties in the same manner. The Commission should reject efforts to single out large loads, including co-located loads, and impose requirements that would not apply to other loads. As discussed above, applying an SSR/RMR type study to a co-located load or hybrid arrangement, including considering "forecasted load growth at least three years after the proposed suspension date" or resource adequacy concerns would contravene the prohibition against undue discrimination under the FPA.

The Commission should ensure that any rules adopted in this proceeding do not result in undue discrimination against large loads, including co-located or hybrid loads.

[43] *See, e.g., New England Power Generators Ass'n v. FERC,* 881, F.3d 202, 210 (D.C. Cir. 2018) (remanding to FERC a decision that treated new generation capacity market entrants differently from existing capacity due to a lack of reasoned explanation departing from its past precedent); *Energy Partners, L.P*., 120 FERC ¶ 61,086 at P 169 (2007) (there is undue discrimination when two classes of customers are treated differently and the two classes of customers are similarly-situated).

[44] *See, e.g., Consol. Edison Co. of N.Y., Inc. v. FERC*, 45 F.4th 265, 282 (D.C. Cir. 2022) (stating that "undue discrimination occurs when similarly situated entities are charged different rates for no good reason.").

E. The Commission Should Be Guided by Well-Established Cost Causation Principles

1. Transmission Charges Should Be Based on Actual Usage of the Transmission System

A bedrock ratemaking principle is that rates and charges must reflect the costs actually caused by the customer and costs must be allocated in a manner roughly commensurate with benefits.[45] Cost causation principles must be the foundation of any transmission rate design. The ANOPR recognizes this well-established principle by proposing that "large loads, including those at hybrid facilities should be responsible for transmission service based on their withdrawal rights as that value amount reflect the quantity of capacity and energy that is being transmitted across the transmission system to the load" (Principle 11).

Under the Commission's well-established transmission pricing framework, transmission charges must be based on a party's "actual use" of the transmission system. In applying this framework to PJM, the Commission has consistently recognized that some customers "rely to a lesser degree on the PJM integrated transmission system" than others, and has approved transmission charges to reflect the parties' actual use of transmission system.[46] In fact, the Commission has long recognized (again in PJM) that netting to calculate load's actual usage of the system is "in the public interest because it ensures that PJM allocates its transmission charges to those using the system on peak and helps ensure that customers have incentives to curtail load during peak periods."

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[45] *Ill. Com. Comm'n v. FERC*, 576 F.3d 470, 476 (7th Cir. 2009)).

[46] *PJM Interconnection, L.L.C.*, 108 FERC ¶ 61,302 at 62,520 (2004).

In this rulemaking proceeding, the Commission should recognize that there are different configurations that large loads/data centers may adopt, and depending upon the configurations, they are likely to use or benefit from the transmission system in different ways. In accordance with the ANOPR, the Commission need only apply its longstanding principle of cost causation. This means that any transmission pricing methodology or rate design that the Commission may impose in this proceeding must allocate costs based on the customer's actual use of the system. The Commission's long-standing policy is to encourage reduced use of the transmission system, which would in turn reduce upgrades to the transmission system, to the benefit of all transmission customers.[47] For instance, if a co-located load's use of the transmission system is limited (or to a lesser degree) than other traditional in front of the meter loads, it should be responsible for costs based on its limited use. On the other hand, a transmission pricing methodology for a co-located arrangement that is based on gross load without any consideration for actual usage of the transmission system or the impact or use of the transmission system would clearly fail to comply with cost causation principles.[48]

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[47] *See, e.g., PJM Interconnection, L.L.C.*, 107 FERC ¶ 61,113 at P 27 (2004).

[48] *See* Show Cause Order at P 77 (questioning whether Network Integration Transmission Service is the appropriate type of transmission service that should be required of all co-located configurations or whether that "service would be consistent with the cost causation principle (*i.e.*, that Network Integration Transmission Service appropriately aligns costs and benefits in a manner that is roughly commensurate) for such arrangements). *See also* February 2025 Order rejecting Exelon's FPA Section 205 filings proposing that all located load arrangements pay full network integration transmission service and ancillary service charges on a gross load basis.

2. Any Deviation From Cost Causation Principles Would Be Unduly Discriminatory and Would Not Only Disadvantage New Large loads but Would also Harm Existing BTMG Customers

There are a number of customers in PSE&G's zone and PJM that have BTMG, such as universities, industrial customers, pharmaceutical companies, and rooftop solar customers. Under the PJM Tariff, such customers have been allowed to net their BTMG against their network load for purposes of calculating transmission and other charges. These BTMG customers use the PJM grid to a lesser degree than a comparable load in front of the meter and under the PJM Tariff, are responsible for paying transmission charges based on their net use of the system.[49]

The co-location construct has been part of the PJM Tariff for over two decades. In 2004, in approving PJM's tariff revisions to implement the BTMG rules, the Commission recognized the benefits of co-location, stating that the BTMG tariff provisions would "encourage qualifying entities with behind the meter generation to ***reduce their use of the PJM transmission system***."[50] As the Commission held, PJM's BTMG provisions would allocate costs based on the market participant's "actual use of PJM's system . . . " and that this is "***consistent with the principle of cost causation***."[51]

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[49] Commissioner Rosner has previously observed that there are "obvious benefits" with co-locating large loads with generation, noting that "there's nothing new about this concept. It's been happening for many years, and siting generation near load reduces system costs, that's kind of logical." See November 1 Technical Conference Transcript at 14 (emphasis added).

[50] *See PJM Interconnection, L.L.C.*, 107 FERC ¶ 61,113 at P 3 (2004) ("2004 BTMG Order"), *reh'g denied*, 108 FERC ¶ 61,302 (2004) (approving PJM's behind the meter tariff provisions as just and reasonable and not unduly discriminatory, and finding that no transmission or distribution facilities are used to deliver energy from the generating unit to the load.).

[51] *Id*. at PP 2, 28 (finding that PJM's meter generation tariff revisions would benefit "customers by allowing PJM to more appropriately allocate the operating costs of its transmission system."). See also *See* PJM Tariff, Definition of "Behind the Meter generation (defining BTMG as "a generation unit that delivers energy to load without using the Transmission System or any distribution facilities.").

There are many PSE&G customers have relied upon these netting provisions in the PJM Tariff to reduce their actual use of the system to the benefit of customers throughout PJM. These customers use BTMG resources such as solar, reciprocating engine, and gas turbine generation facilities. In New Jersey alone, there are over 200,000 BTMG solar installations, 90,000 of which are located on PSE&G's system.[52] These customers are able to offset their peak load with behind-the-meter solar systems. Indeed, homeowners with solar panels are often able to fully offset their electricity usage during peak demand times, therefore eliminating any charge for transmission service. If a gross load methodology were adopted, customers in PSE&G's zone and PJM that have BTMG would be harmed if they were no longer allowed to net their BTMG against their network load for purposes of calculating transmission and other charges.[53]

Consistent with longstanding Commission precedent, the ANOPR correctly proposes that co-located load/hybrid arrangements "should be responsible for transmission service based on their withdrawal rights, as that value amount reflects the quantity of capacity and energy that is being transmittal across the transmission system."[54] Co-located load is using the transmission system in the same manner as BTMG customers and there would be no justification to treat behind the meter load different from BTMG. Both classes of customers employ similar co-location configurations and should pay for

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[52] *See* https://njcleanenergy.com/renewable-energy/project-activity-reports/project-activity-reports.

[53] *See PJM Interconnection, L.L.C.*, Docket No. EL25-49, Response of Public Service Electric and Gas Company to the Order to Show Cause, Exhibit 1, which illustrates the financial harm to a number of PSE&G's BTMG customers if they were to be assessed on a gross load basis and no longer to net.

[54] ANOPR at P 28.

transmission services based on their actual system usage (*i.e*., based on net use of the transmission system).

F. Network Upgrades to Accommodate In Front of the Meter Configurations Should Be Rolled Into Transmission Rates While Network Upgrades to Accommodate Hybrid/Co-Located Load Arrangements Should be Assigned to the Hybrid/Co-Located Load Arrangements Assuming There is No Usage of the Transmission System

The ANOPR proposes that load and hybrid facilities should be responsible for "100% of the network upgrades that they are assigned through the interconnection studies" and asks for comments whether "such costs should be offset through a crediting mechanism and, if so, over how many years."[55] The proposal is based on the corresponding requirement for generation interconnections from Order No. 2003, where "Network Upgrades will be funded initially by the Interconnection Customer (unless the Transmission Provider elects to fund them), the Interconnection Customer would then be entitled to a cash equivalent refund (*i.e.*, credit) equal to the total amount paid for the Network Upgrades."[56]

The ANOPR's approach would be inconsistent with the Commission's longstanding cost causation approach to network upgrades. Under longstanding Commission precedent, when transmission facilities "are integrated and thus provide system-wide benefits, facilities' costs generally are rolled-in and charged to all customers

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[55] ANOPR at P25.

[56] *Standardization of Generator Interconnection Agreements & Procedures*, Order No. 2003, 104 FERC ¶ 61,103 at P 720 (2003), *order on reh'g,* Order No. 2003-A, 106 FERC ¶ 61,220, *order on reh'g and compliance*, Order No. 2003-B, 109 FERC ¶ 61,287 (2004), *order on reh'g*, Order No. 2003-C, 111 FERC ¶ 61,401 (2005) ("Order No. 2003").

served."[57] Similarly, the Commission has noted that when customers "enjoy the benefits of reliable service by their association with [an] integrated system," they "should share the cost of the entire transmission system."[58] In contrast, when facilities "are not integrated and thus do not provide system-wide benefits, direct assignment typically is used to allocate costs to those customers who use the facilities."[59] This framework is logical and directly tied to cost causation; beneficiaries pay for the costs of the transmission system.

Network upgrades to accommodate load interconnections in front of the meter should be allocated to all transmission customers, including large load additions. Absent consistency on this principle, large load customers will benefit from their use of the transmission system without sharing in the corresponding costs. Importantly, the ANOPR offers no basis for this proposed distinction between large load customers and other customers. Further, following the ANOPR's proposed approach will likely result in significant litigation over cost responsibility and thereby defeat one of the ANOPR's stated goals, which is to connect these loads "to the transmission system in a timely, orderly, and non-discriminatory manner."[60] As a result, and consistent with long-standing Commission precedent, network upgrades that have system-wide benefits should be rolled into transmission rates and paid by all customers.

On the other hand, network upgrades required by co-location load arrangements should continue to be directly assigned to the co-location arrangements. A co-located load on a behind the meter arrangement with system protection facilities to prevent

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[57] *Allegheny Power*, 122 FERC ¶ 61,160 (2008).

[58] *Niagara Mohawk Power Corp.*, Opinion No. 296, 42 FERC ¶ 61,143, at 61,531 (1988).

[59] *Pinnacle West Capital Corp.*, 131 FERC ¶ 61,143 at P 42 (2010).

[60] Secretary's October 23, 2025 Letter at 1.

unauthorized injections or withdrawals will not use the transmission system for the delivery of power,[61] and therefore should not pay transmission charges that would pay over time for the costs of the network upgrades. Accordingly, to the extent that the co-located load arrangements require network upgrades, consistent with principle that the cost causer should pay for the cost, it would be appropriate to directly assign such network upgrades to the co-located load arrangement.

G. The Commission Should Increase the 20 MW Threshold to 30 MW or higher.

The ANOPR proposes that the reforms would apply to "new loads greater than 20 MW and, for hybrid facilities, where the load is greater than 20 MW."[62] The ANOPR explains that the 20 MW threshold is the same threshold in the Commission's *pro forma* generator interconnection rules. Yet, the 20 MW threshold could result in unintended consequence and should be increased to a minimum of 30 MW or greater.

First, a 20 MW threshold is likely to pull in commercial loads that were not intended to be covered by the proposal, such as non-data center loads, customers connected at the distribution level, and other commercial customers. Here, it is important to recognize that loads, including data center loads, at 20 MW generally interconnect at distribution levels, do not impact the transmission system and would be outside the scope of the Commission's jurisdiction as proposed in the ANOPR.[63]

[61] *Se*e ANOPR at P 23.

[62] ANOPR P 19.

[63] ANOPR at P 18 (stating that the "Commission's jurisdiction should be limited to interconnections directly to transmission facilities, consistent with the Commission's seven-factor test.").

Second, the average size of a data center is generally higher than 20 MW. In Northern Virginia, which is home to the largest data center hub in the world, at the end of 2024, there were about 150 data centers with about 5,050 MW of aggregate load, with the average size of a data center in Virginia being slightly over 30 MW.[64] Moreover, across the United States, the average size of a data center is currently 40 MW and expected to increase to 60 MW by 2028.[65] Accordingly, it would be appropriate to increase the threshold from 20 MW to 30 MW or greater. This higher threshold would allow the Commission to concentrate its efforts on the types of large loads that are expected to dominate electricity demand growth in the coming years.

[64] https://www.utilitydive.com/news/pjm-load-forecast-data-center-dominion-virginia/735056/ (stating that Northern Virginia, which is the "largest data center hub in the world" has about 150 data centers with about 5,050 MW of load, with the average size being approximately 34 MW).

[65] "Breaking Barriers to Data Center Growth," (Jan. 20, 2025) (available at https://www.bcg.com/publications/2025/breaking-barriers-data-center-growth)

IV. CONCLUSION

The rapid growth of large loads presents a historic opportunity for the country but also poses major challenges, including the need for significant quantities of electricity and substantial investment in the country's transmission system. An "all of the above" strategy is required that prioritizes customer affordability. This includes reforms to enhance the accuracy of the regional load forecast, to expedite the interconnection generation resources, and to add significant quantities of new generation resources as quickly as possible through state-led processes. The Commission should expeditiously act on the ANOPR and adopt standard rules and procedures that would ensure the timely, orderly and fairly interconnections of new large new loads to the transmission system in a manner that (i) ensures customer reliability; (ii) ensures an efficient use of the transmission system and establishes charges consistent with the cost causation principle; (iii) avoids adversely impacting existing BTMG customers or treating co-located loads in an unduly discriminatory manner; and (iv) preserves co-location as a viable option to support data center development in the United States.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon each person designated on the official service list compiled by the Secretary in the proceeding.

Dated at Newark, New Jersey this 21st day of November, 2025.

/s/ Robert Gardinor
Robert Gardinor